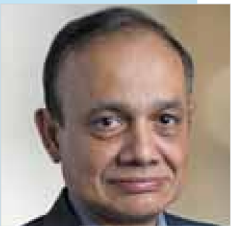
What THE US CHIPS ACT Means For India?

India needs to move fast to capture the opportunity that this new world order in semiconductors is creating. In the end, strategy combined with strategic relationships and execution will be the key to success



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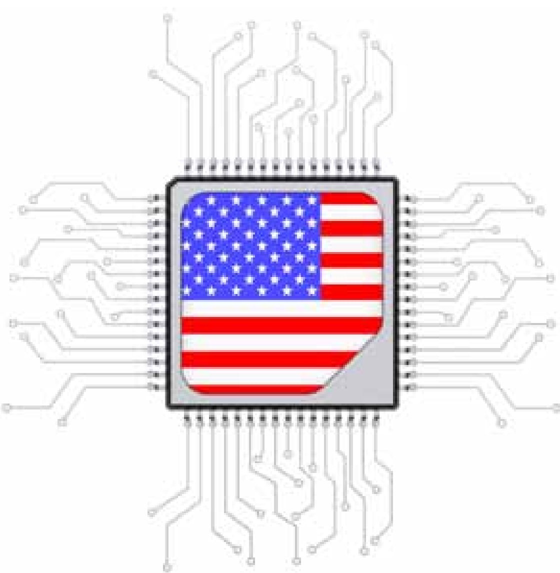
The USA President Joe Biden signed The US CHIPS Act on 9th August, committing his country to a historic realignment of their semiconductor destiny through policy as well as funds for the programme. The genesis of this move has been:

1. The polarisation of semiconductor industry into Taiwan and the resulting US-China geo-politics with Taiwan.

2. Covid-19 brought home the reality of the global dependence on semiconductors and the fragility of the supply-chain that disrupted downstream industries ("for want of a chip, a ship was lost…"). Of course, Covid-19 escalated the issue, but the disaster was in the making for some years with a series of black swan events hitting the industry starting with:

(a) Buy-USA policies in the Trump era

(b) Natural calamities like drought impeding production in Taiwan



(c) Industrial accidents in different context, different sites across geographies

(d) And more recently the war in Europe

Over the years, the US semiconductor market has seen silicon shift out of the Silicon Valley, which retained its fabless companies but the semiconductor manufacturing industries migrated to other parts of the world that offered economies of scale, efficient supply-chain ecosystems, and better government incentives.

The US CHIPS Act aims at redefining the semiconductor industry and getting the semiconductor manufacture back to the USA. This brings several opportunities for India as it builds a mission mode approach to its own semiconductor industry/semiconductor ecosystem. Of special significance are the following:

1. As the USA redefines the global supply-chain ecosystem, India has an opportunity to get a share of the USA fab sourcing by building India's semiconductor supply-chain ecosystem for global execution. Can the Indian industry—with easy access to Indian deposits of aluminium, copper, zinc, and several other materials of interest for semiconductor industry—move beyond raw material mining and export to creating semiconductor-grade products that meet the growing global needs?

Another opportunity is potentially from taking a share from the supply-chain markets in Asia-Pacific as companies restructure their semiconductor manufacturing supply-chain ecosystems.

A careful focused strategy and selective upgradation of some of our industries can bring these opportunities alive in a manner that meshes with the emerging global and the USA demand.

2. There is another opportunity for India. As the USA and Europe look at scaling up their semiconductor ecosystem, there is a visible deficit of 300,000 skilled people in the global semiconduc-